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POLICY NUMBER: FP-OPSFIN-123

Credit Card Balancing, Refunds, and Chargebacks

This policy includes guidelines for daily credit card receivable balancing, credit card refund procedures, and credit card chargeback protocol.

POLICY STATEMENT

Credit card balancing and transmission must occur on a daily basis to ensure complete and accurate financial statements.

Credit card refunds must be completed timely after appropriate research and approval.

Credit card chargebacks are a request for documentation by a merchant to substantiate the validity of charges. These inquiries must be responded to within the stated time frame per the notice received from the applicable merchant.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. CREDIT CARD BALANCING

- 1) Daily, a reconciliation must be performed between the credit card system settlement totals and revenue stream totals per the PMS/POS systems.
- 2) Any unresolved differences identified as part of the reconciliation, must be brought to the attention of the Finance Leader (or designee) and resolved, to ensure all funds are collected.
- 3) Separate accounts must be maintained on the Balance Sheet for each credit card merchant and must be reconciled monthly. For instance, it is a common practice for Visa and Mastercard to be processed together through the same merchant and thus, would be recorded on the same balance sheet account.

B. CREDIT CARD REFUNDS

- 1) Credit card refunds occur after a transaction is already processed or transmitted. Refunds are typically due to guest overpayment (not fully utilizing their deposit), or the need for reimbursement as a result of a customer complaint, service recovery, or hotel error. Whereas credit card voids are transactions that are cancelled prior to transmission.
- 2) All credit card refunds must be posted to the same credit card number as originally charged.
- 3) Credit card refunds must be processed by a Front Office Supervisor (or equivalent) or Finance Team Member(s) assigned by the Finance Leader. All refunds must be recorded in PMS regardless of whether you process the transaction via credit card terminal or directly in PMS.
- 4) If the refund must be initiated through a credit card terminal, then the Finance Leader must ensure that Team Members allowed to process refunds in the credit card terminal are restricted. This is at the discretion of the hotel but must be a Supervisor or Manager at a minimum.
- 5) If an override swipe card is required to be used for processing refunds, this must be kept in a secure location or with the designated responsible Team Member at all times. If the system allows for enhanced security set-up (i.e., PIN access) this must be put in place.
- 6) If PDQ machines are utilized, the sequencing of PDQ transactions must be checked daily for all machines including those used only periodically or currently not in use. A list of PDQ machines and the location must be maintained and the machines must be secured at all times.

- 7) The Team Member processing the credit card refund must either enter an explanation for the refund in the PMS system (where possible) or submit supporting documentation to the Finance department.
- 8) Supporting documentation for credit card refunds processed **outside of PMS** (i.e., directly in a credit card terminal) must consist of the following:
 - a) Guest name
 - b) Original sale amount
 - c) Refund amount
 - d) Date of original sale
 - e) Refund processing date
 - f) Last four digits of the credit card number used for the original sale (must match the last four digits of the credit card number used for the refund)
 - g) Last four digits of the credit card number used for the refund (must match the last four digits of the credit card number used for the sale)
 - h) Reason for refund
 - i) Signature of Supervisor or Manager processing the refund
- 9) A Finance Team Member is responsible for maintaining and auditing a record of all credit card refunds. The Finance Team Member performing this review cannot have system access to post refunds to credit cards. This audit must include a review of applicable balancing reports from both the PMS / POS system(s) and the credit card processing system(s). Discrepancies or suspicious activity identified as part of this audit, must be escalated to the Finance Leader.

C. CREDIT CARD CHARGEBACKS

- 1) Credit card chargebacks and inquiries must be researched and responded to within the timeline indicated by the merchant.
- 2) In the event of valid charges, a copy of a signed registration card (if applicable), PMS / POS documentation, and other relevant support should be included in the response to the merchant.
- 3) If the merchant declines the property's chargeback response, then the following steps must be taken:
 - a) The Finance Leader (or designee) should obtain all support submitted to the merchant for review and decide whether or not to continue to respond to the chargeback or accept the merchant's decision.
 - b) If the merchant will not reverse the chargeback and the property decides to accept the merchant's decision, then the Finance Leader (or designee) must either direct bill the guest (if deemed collectable), issue an allowance, or write-off the balance following FP-OPSFIN-125 Bad Debt Reserve & Write Offs.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Regional Finance Director	Regional Team Member responsible for the Accounting / Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.
Operations Leader	Ranking Operations representative for the property (i.e., General Manager, Hotel Director, or Operations Manager).